

2. The upcoming budget is more predictable, especially when account balances remain strong.
3. Those whose lifestyle goals work with a sufficiently low spending rate (whether that be 4 percent or some other number) and who have a taste for market volatility can meet their goals with a high likelihood for success.
4. It may be possible to create a large legacy with this strategy through the combination of a low spending rate and an aggressive asset allocation.

But it suffers from a number of disadvantages, too, primary among which is the retiree's vulnerability to wealth depletion. Spending remains consistent until wealth hits zero. If the retiree has insufficient income sources outside the investment portfolio, this could have devastating implications. Not only could the retiree's preferred lifestyle be unattainable, but a minimally acceptable standard of living could prove to be too expensive after portfolio depletion. This strategy is particularly risky for those lacking sufficient resources elsewhere to cover basic needs.

This strategy also uniquely increases sequence-of-returns risk by calling for constant real spending from a volatile investment portfolio. Safety-first advocates would argue that this strategy is inherently flawed—those seeking constant spending should use a less volatile retirement strategy, and those who accept portfolio volatility should also accept spending volatility. A progressively lower spending rate is required to manage the increased sequence risk. As the portfolio declines, a reduction in spending is essential to prevent the discrete drop-off in spending power when the portfolio reaches zero.

The constant spending strategy is also extremely inefficient. If market performance is better than whatever would be considered a “worst-case” scenario when a spending rate is chosen, spending will fall well below what would be feasible and sustainable. Your wealth will continue to grow unabated as your current spending rate drops (a constant spending amount from an increasing portfolio means a lower subsequent spending rate). On the upside, in good market scenarios, legacy wealth ends up being greater than with most other strategies because there is no mechanism to allow for spending increases in retirement.